

Paychex vs. ADP — Side-by-Side Cost Analysis

Payroll, 401(k) & Timekeeping | 26 employees | Biweekly payroll (26 runs/year)

PREPARED FOR

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Important: Paychex rates are variable and subject to increase. ADP pricing is fixed.

1. Payroll BIWEEKLY · 26 RUNS/YR

YEAR 1

LINE ITEM	PAYCHEX	ADP
Per-payroll rate	\$87 / biweekly	\$74 / biweekly
Billable runs (Year 1)	26 runs	13 runs (6 months free)
Calculation	\$87 × 26	\$74 × 13
Year 1 payroll cost	\$2,262.00	\$962.00

Year 1 payroll savings with ADP: **\$1,300.00** (\$2,262 – \$962)

YEAR 2 AND BEYOND (ANNUAL)

LINE ITEM	PAYCHEX	ADP
Per-payroll rate	\$87 / biweekly	\$74 / biweekly
Calculation	\$87 × 26	\$74 × 26
Annual payroll cost	\$2,262.00	\$1,924.00

Annual payroll savings with ADP: **\$338.00** (\$2,262 – \$1,924)

2. 401(k)

OUT-OF-POCKET BASIS

YEAR 1

LINE ITEM	PAYCHEX	ADP
Administration fee	\$210 / month, paid out of pocket	\$220 / month, charged to the plan
Annual fee calculation	$\$210 \times 12 = \$2,520.00$	\$0.00 out of pocket (plan-funded)
Promotional credit	—	8 months free = \$1,760 credit applied to plan ($\$220 \times 8$)
One-time cancellation fee (Year 1 only)	\$1,500.00	\$0.00
Year 1 out-of-pocket 401(k) cost	\$4,020.00 (\$2,520 + \$1,500)	\$0.00

Year 1 401(k) savings with ADP: **\$4,020.00** (\$4,020 – \$0)

YEAR 2 AND BEYOND (ANNUAL)

LINE ITEM	PAYCHEX	ADP
Administration fee	\$210 / month, paid out of pocket	\$220 / month, charged to the plan
Annual fee calculation	$\$210 \times 12$	\$0.00 out of pocket (plan-funded)
Annual out-of-pocket 401(k) cost	\$2,520.00	\$0.00

Annual 401(k) savings with ADP: **\$2,520.00** (\$2,520 – \$0)

Note: Asset-based fees (basis points) are identical on both platforms and are therefore not a differentiator. They are excluded from this comparison.

3. Timekeeping

ADP = BYOD APP, NO KIOSK

YEAR 1

LINE ITEM	PAYCHEX	ADP (BYOD)
Base fee	\$190 / month	\$2.50 / employee / month $\times$ 26 = \$65 / month
Base fee — billable months (Year 1)	$\$190 \times 12 =$ \$2,280.00	6 months free $\rightarrow$ pay 6 months $\$65 \times 6 = \390.00
Per-payroll fee	— (included in base)	\$1.66 / employee / payroll $\times$ 26 employees
Per-payroll fee — billable runs (Year 1)	—	6 months free $\rightarrow$ pay 13 runs $\$1.66 \times 26 \times 13 = \561.08
Year 1 timekeeping cost	\$2,280.00	\$951.08 (\$390.00 + \$561.08)

Year 1 timekeeping savings with ADP: **\$1,328.92** (\$2,280 – \$951.08)

YEAR 2 AND BEYOND (ANNUAL)

LINE ITEM	PAYCHEX	ADP (BYOD)
Base fee	\$190 / month	$\$2.50 \times 26 = \65 / month
Base fee — annual	$\$190 \times 12 = \$2,280.00$	$\$65 \times 12 = \780.00
Per-payroll fee — annual	—	$\$1.66 \times 26 \times 26 = \$1,122.16$
Annual timekeeping cost	\$2,280.00	\$1,902.16 (\$780.00 + \$1,122.16)

Annual timekeeping savings with ADP: **\$377.84** (\$2,280 – \$1,902.16)

Total Cost Summary

ALL FIGURES = OUT-OF-POCKET COST

CATEGORY	PAYCHEX — YEAR 1	ADP — YEAR 1	PAYCHEX — YEAR 2+	ADP — YEAR 2+
Payroll	\$2,262.00	\$962.00	\$2,262.00	\$1,924.00
401(k) (incl. \$1,500 cancellation, Yr 1)	\$4,020.00	\$0.00	\$2,520.00	\$0.00
Timekeeping	\$2,280.00	\$951.08	\$2,280.00	\$1,902.16
Total	\$8,562.00	\$1,913.08	\$7,062.00	\$3,826.16
YEAR 1 SAVINGS WITH ADP \$6,648.92 \$8,562.00 (Paychex) – \$1,913.08 (ADP)		YEAR 2+ ANNUAL SAVINGS WITH ADP \$3,235.84 \$7,062.00 (Paychex) – \$3,826.16 (ADP)		

Important: Paychex rates are variable and subject to increase. ADP pricing is fixed — the savings above are protected for the life of your agreement.

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This proposal is for comparison purposes. Promotional terms are subject to ADP's official agreement and rate sheet.